Diversity and Global Policy: Culture, Social Norms, and Stereotypes

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We study the factors driving observed differences in group outcomes.

We focus on:

- **Socio-psychological factors**
  - Focus on gender differences in preferences
- **Culture, norms, and stereotypes** (today's lecture)
  - Focus on their formation and persistence across time and space
- **(Unfair) institutions**
  - Focus on the history of slavery in the United States
- **Discrimination**
  - Theoretical models of discrimination
  - Quasi-experimental evidence of discriminatory practices of employers

Culture and Diversity

Culture – broadly defined as *"the ideas, customs, and social behavior of a particular people or society"* – is an essential aspect of human societies.

By influencing our beliefs and behaviors, it shapes interactions between groups – potentially sustaining various forms of inequality.

$\Rightarrow$ Group differences in a variety of outcomes (*e.g., labor market participation, risk preferences*) could reflect underlying cultural values and beliefs (Giuliano, 2020)

Our Roadmap

We will discuss two essential cultural aspects:

- **Social norms** = *"patterns of behavior that are self-enforcing at the group level: [where] everyone wants to conform when they expect everyone else to conform"* (Young, 2015)
  - Relevant contemporary examples
  - Historical origins
  - Transmission channels
  - Evolution and change
- **Stereotypes** = *"a generalized belief about a particular category of people"* (Wikipedia)
  - How stereotypes impact decision-making
  - How role models may help fight against stereotypes

Let's start with some examples to fix ideas...

"Acting White" (short video)

On every measure of academic achievement Black students lag behind their White counterparts.

e.g., In 2000, Black 17-year-olds read like White 13-year-olds.

These dramatic differences in performance partly result from negative peer interactions (Austen-Smith and Fryer Jr, 2005; Fryer Jr and Torelli, 2010).

Black communities impose costs on their members who try to "act White".

This creates disincentives to invest in useful behaviors (*e.g., studying hard*) to avoid rejection from the social peer group.

$\Rightarrow$ Trade-off between group loyalty and individual success

"Acting Wife"

Single women also have incentives not to look too ambitious to increase their chances in the marriage market.

Bursztyn et al. (2017) run two field experiments in an elite U.S. MBA program to flesh out these patterns of behavior.

First experiment:

- Newly admitted MBA students filled out a questionnaire on job preferences and personality traits to be used by the career center in internship placement.
- Randomly selected students thought their answers would be shared with classmates.

"Acting Wife"

Results of the first experiment:

- When they believed their classmates would not see their responses, single and nonsingle women answered similarly.
- However, single women reported desired yearly compensation \$18,000 lower and being willing to travel seven fewer days per month and work four fewer hours per week when they expected their classmates would see their answers.
- They also reported less professional ambition and tendency for leadership.
- Neither men nor non-single women changed their answers in response to peer observability.

"Acting Wife"

Second experiment:

- Students make choices over hypothetical jobs before discussing their choices in their career class small groups.
- The authors randomly varied the groups' gender composition.

Results of the second experiment:

- Single women were much less likely to select career-focused jobs when their answers would be shared with male peers, especially single ones.

Quiz

In these examples, what is the stereotype and what is the social norm?

Where do these norms come from?

Origins and Persistence of Gender Roles

Many contemporary differences are in fact deeply rooted in a society's history.

Two main historical factors that still impact the present day:

- **Agricultural technologies**
  - Plough or shifting agriculture
- **Pre-industrial societal characteristics**
  - Matrilineality
  - Residence after marriage
  - Presence of dowries
  - Weak or strong family ties

Agricultural Technologies

The plough is capital-intensive, requires bodily strength (to guide the plough and the animal), and is dangerous for children.

On the contrary, shifting agriculture – which uses the hoe and the digging stick – is more labor-intensive and child-friendly.

Alesina et al. (2013) document a strong negative correlation between the traditional use of the plough and female labor force participation in agriculture in pre-industrial societies.

Do these differences persist over time?

Yes. In countries or among immigrants with a tradition of plough use, women are less likely to:

- participate in the labor market
- own firms
- participate in national politics
- and also have more traditional gender norms (as measured by answers to the World Values Survey)

Furthermore:

- higher parental authority is granted to the father
- inheritance rules favor male heirs
- and women have less freedom to move outside the house

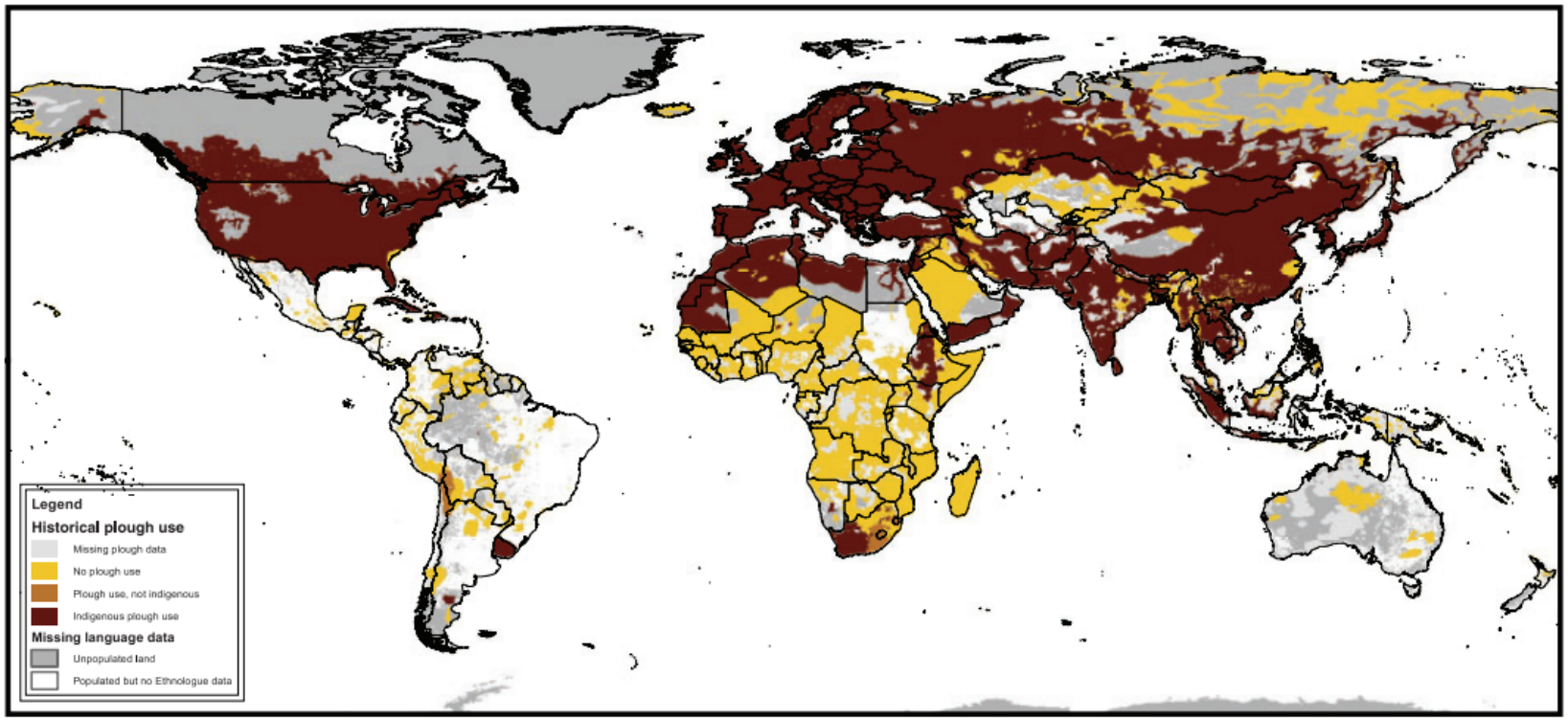


FIGURE II

Traditional Plough Use among the Ethnic/Language Groups Globally

TABLE I

TRADITIONAL PLOUGH USE AND FEMALE PARTICIPATION IN PRE-INDUSTRIAL AGRICULTURE

	(1)	(2)	(3)	(4)	(5)	(6)	(7)
	Dependent variable: Traditional participation of females relative to males in the following tasks:						
	Overall agriculture		Land clearance	Soil preparation	Planting	Crop tending	Harvesting
Mean of dep. var.	3.04	2.83	1.45	2.15	2.86	3.16	3.23
Traditional plough agriculture	−0.883***	−1.136***	−0.434**	−1.182***	−1.290***	−1.188***	−0.954***
	(0.225)	(0.240)	(0.197)	(0.320)	(0.306)	(0.351)	(0.271)
Ethnographic controls	yes	yes	yes	yes	yes	yes	yes
Observations	660	124	129	124	131	122	131
Adjusted R-squared	0.13	0.19	0.14	0.10	0.09	0.13	0.16
R-squared	0.14	0.23	0.18	0.14	0.13	0.18	0.20

Notes. The unit of observation is an ethnic group. In column 1, ethnic groups are from the *Ethnographic Atlas,* and in columns 2–7, they are from the *Standard Cross-Cultural Sample*. The dependent variable measures traditional female participation in a particular agricultural activity in the pre-industrial period. The variables take on integer values between 1 and 5 and are increasing in female participation. "Traditional plough use" is an indicator variable that equals one if the plough was traditionally used in pre-industrial agriculture. For the *Ethnographic Atlas*, the mean (and standard deviation) of the traditional plough agriculture variable is 0.186 (0.390), and for the *SCCS* it is 0.234 (0.425); these correspond to the samples from columns 1 and 2, respectively. The same statistics for the other columns are slightly different. "Ethnographic controls" include: the suitability of the local environment for agriculture, the presence of large domesticated animals, the proportion of the local environment that is tropical or subtropical, an index of settlement density, and an index of political development. Finer details about variable construction are provided in the text and appendix. Coefficients are reported with robust standard errors in brackets. Column 1 reports Conley standard errors adjusted for spatial correlation. ***, **, and * indicate significance at the 1%, 5%, and 10% levels.

TABLE II

TRADITIONAL PLOUGH USE AND TRADITIONAL FEMALE PARTICIPATION OUTSIDE OF AGRICULTURE IN THE PRE-INDUSTRIAL PERIOD

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
	Dependent variable: Traditional participation of females relative to males in the following tasks:								
	Caring for small animals	Caring for large animals	Milking	Cooking	Fuel gathering	Water fetching	Burden carrying	Handicrafts	Trading
Mean of dep. var.	3.53	1.73	3.25	4.65	3.90	4.64	3.47	2.78	2.47
Traditional plough use	0.14	0.064	0.63	−0.019	−0.638	−0.052	−0.962**	−0.157	−0.155
	(0.517)	(0.254)	(0.697)	(0.108)	(0.403)	(0.205)	(0.378)	(0.274)	(0.542)
Ethnographic controls	yes	yes	yes	yes	yes	yes	yes	yes	yes
Observations	88	95	48	173	159	154	135	74	59
Adjusted R-squared	−0.02	−0.02	0.03	0.01	−0.001	0.01	0.12	0.07	−0.01
R-squared	0.05	0.04	0.14	0.04	0.04	0.04	0.16	0.15	0.10

Notes. The unit of observation is an ethnic group from the *Standard Cross-Cultural Sample*. The dependent variable measures traditional female participation in a particular activity in the pre-industrial period. The variables take on integer values between 1 and 5 and are increasing in female participation. "Traditional plough use" is an indicator variable that equals one if the plough was traditionally used in pre-industrial agriculture. The mean (and standard deviation) of this variable is 0.239 (0.429); this corresponds to the sample from column 1. "Ethnographic controls" include: the suitability of the local environment for agriculture, the presence of large domesticated animals, the proportion of the local environment that is tropical or subtropical, an index of settlement density, and an index of political development. Finer details about variable construction are provided in the text and appendix. Coefficients are reported with robust standard errors in brackets. ***, **, and * indicate significance at the 1%, 5%, and 10% levels.

TABLE III

COUNTRY-LEVEL OLS ESTIMATES WITH HISTORICAL CONTROLS

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
	Dependent variable:							
	Female labor force participation in 2000		Share of firms with female ownership, 2003–2010		Share of political positions held by women in 2000		Average effect size (AES)	
Mean of dep. var.	51.03		34.77		12.11		2.31	
Traditional plough use	−14.895***	−15.962***	−16.243***	−17.806***	−2.522	−2.303	−0.736***	−0.920***
	(3.318)	(3.881)	(3.854)	(4.475)	(1.967)	(2.353)	(0.084)	(0.100)
Historical controls:								
Agricultural suitability	9.407**	9.017**	1.514	4.619	1.009	−0.687	0.312**	0.325**
	(3.885)	(4.236)	(5.358)	(5.836)	(2.799)	(2.925)	(0.129)	(0.133)
Tropical climate	−8.644***	−12.389***	−11.091***	−3.974	−7.671***	−5.618**	−0.322***	−0.004
	(2.698)	(3.302)	(3.608)	(5.542)	(2.370)	(2.265)	(0.083)	(0.102)
Presence of large animals	10.903**	2.35	−0.649	4.475	−9.152**	−7.338	0.174	0.296**
	(5.032)	(5.956)	(9.130)	(10.034)	(4.052)	(4.774)	(0.111)	(0.145)
Political hierarchies	−0.787	0.447	1.502	0.52	0.906	0.699	0.080**	0.062
	(1.622)	(1.624)	(1.845)	(1.773)	(0.740)	(0.777)	(0.040)	(0.043)
Economic complexity	0.170	1.157	1.810*	0.517	1.082**	0.727	0.048**	0.018
	(0.849)	(0.859)	(1.023)	(1.351)	(0.491)	(0.510)	(0.021)	(0.026)
Continent fixed effects	no	yes	no	yes	no	yes	no	yes
Observations	177	177	128	128	153	153	153	153
Adjusted R-squared	0.20	0.24	0.14	0.16	0.14	0.14	0.24	0.27
R-squared	0.22	0.28	0.18	0.23	0.17	0.20	0.25	0.30

Notes. OLS estimates are reported with robust standard errors in brackets. The unit of observation is a country. "Traditional plough use" is the estimated proportion of citizens with ancestors that used the plough in pre-industrial agriculture. The variable ranges from 0 to 1. The mean (and standard deviation) for this variable is 0.522 (0.473); this corresponds to the sample from columns 1 and 2. "Female labor force participation" is the percentage of women in the labor force, measured in 2000. The variable ranges from 0 to 100. "Share of firms with female ownership" is the percentage of firms in the World Bank Enterprise Surveys with some female ownership. The surveys were conducted between 2003 and 2010, depending on the country. The variable ranges from 0 to 100. "Share of political positions held by women" is the proportion of seats in parliament held by women, measured in 2000. The variable ranges from 0 to 100. The number of observations reported for the AES is the average number of observations in the regressions for the three outcomes. ***, **, and * indicate significance at the 1%, 5%, and 10% levels.

TABLE V

INDIVIDUAL-LEVEL OLS ESTIMATES USING WVS DATA

	(1)	(2)	(3)	(4)	(5)	(6)
	Dependent variable:					
	Female labor force participation, 1995–2007		When jobs are scarce, 1995–2007		Men better political leaders, 1995–2007	
Mean of dep. var.	0.55	0.55	0.46	0.47	2.62	2.64
Traditional plough use	−0.177***	−0.002	0.193***	0.100*	0.224***	0.304***
	(0.035)	(0.031)	(0.033)	(0.059)	(0.069)	(0.117)
Individual & district controls	yes	yes	yes	yes	yes	yes
Contemporary country controls	yes	n/a	yes	n/a	yes	n/a
Fixed effects	continent	country	continent	country	continent	country
Number of countries	73	78	74	79	50	55
Number of districts	672	698	674	700	453	479
Observations	43,801	47,587	80,303	87,528	64,215	72,152
Adjusted R-squared	0.17	0.27	0.21	0.28	0.19	0.26
R-squared	0.17	0.27	0.21	0.28	0.19	0.26

Notes. The table reports OLS estimates, with standard errors clustered at the district level. The unit of observation is an individual. In columns 1 and 2, the sample includes women only and the dependent variable is an indicator variable that equals one if she is in the labor force. The estimates in columns 3–6 include men and women. The depedent variables measure respondents' self-report attitudes regarding gender roles. A higher value indicates beliefs about greater inequality between men and women. "When jobs are scarce" takes on the value of zero or one, while "men better political leaders" takes on integer values between 1 and 4. "Individual controls" are: age, age squared, dummies for primary and secondary education (the excluded group is tertiary education), gender (for gender attitude dependent variables only) and an indicator variable for marital status. "Traditional plough use" is the estimated proportion of individuals living in a district with ancestors that used the plough in pre-industrial agriculture. The mean (and standard deviation) of this variable is 0.724 (0.425); this corresponds to the sample from column 1. "District controls" include district-level measures of: ancestral suitability for agriculture, fraction of ancestral land that was tropical or subtropical, ancestral domestication of large animals, ancestral settlement patterns, and ancestral political complexity. "Contemporary country controls" include: the natural log of real per capita GDP, and its square, measured in the same year as the dependent variable. ***, **, and * indicate significance at the 1%, 5%, and 10% levels.

Pre-Industrial Societal Characteristics

Pre-industrial characteristics are another important factor in explaining contemporary gender differences.

Matrilineality (the tracing of inheritance and lineage through female family members) is associated with more favorable women's outcomes, as it is often associated with a higher social status for women.

Gneezy et al. (2009) study competitive behaviors of men and women in the Maasai, a patriarchal society in Tanzania, and the Khasi, a matrilineal and matrilocal society in India.

Experimental setting: Two groups were given a choice either to play a ball-throwing game without competition or to compete in the same game with an anonymous person from the same village, with the winner receiving all the benefits.

Main results:

- Among the Maasai, 50% of men chose to compete versus only 26% of women.
- This result is similar to that in Western cultures (where patrilineal systems were historically more common).
- The result was reversed in the matrilineal Khasi society, where 54% of women chose to compete versus only 39% of men!

Patrilocality = a social system in which a married couple resides with or near the husband's parents

Patrilocality is often associated with worse contemporary outcomes for women.

Women leave their parents' house at marriage – both physically and financially.

Thus, parents gain more returns on investment in a son's health and education because he will remain a part of their family.

Dowry = a payment by a bride's parents to the couple at the time of marriage

Bride price = a transfer from the groom and/or his family to the bride's family

The bride price system is often associated with better contemporary outcomes for women.

e.g., In India, the prospect of paying a dowry is often related to "son preference" (i.e., the desire to have sons rather than daughters).

The price of gold: Dowry and death in India

In India, gold is an integral part of the dowry. When gold prices increase, Bhalotra et al. (2020) show that:

- Dowries become more expensive for the parents.
- Girls' neonatal mortality increases (relative to boys')
- Surviving girls are shorter (consistent with less investment in girls – *e.g., malnutrition*)
- Sex-selective abortions increase – but only after the introduction of prenatal sex determination technologies

Family ties are also an essential determinant of gender roles.

In societies with strong family ties, family solidarity is based on an unequal division of family work.

This leads to a "male-breadwinner" system, where men work full-time, and women are dedicated to housework.

In contrast, weak family ties foster egalitarian gender roles – with men and women participating equally in employment and housework.

How do people learn and adopt norms?

The Transmission of Social Norms

Because social norms are inherently tied to social interactions and our perceptions of others, they are often *transmitted* to us by our peers.

There are three transmission channels:

- **Vertical transmission**
  - Norms are transmitted from one generation to another (mainly via family ties).
- **Horizontal transmission**
  - Norms are transmitted by interacting with peers in society.
- **Oblique transmission**
  - Norms are transmitted via role models.

    e.g., teachers, any other form of non-family, non-peer socialization

Vertical Transmission

Vertical transmission = influence of your family

Indirect evidence:

- Despite being subject to the same economic and institutional context, immigrants differ from comparable locals in their labor market decisions.
- Female labor force participation in the country of origin strongly correlates with immigrants' behavior in the country of immigration.

Direct household level evidence:

- Maternal views about gender roles correlate strongly with their children's values (Farré and Vella, 2013).

Horizontal Transmission

Horizontal transmission = influence of peer pressure

It is harder to rigorously document horizontal transmission of norms. Contrary to our family ties, we choose our other socialization circles!

People tend to hang out with peers based on homophily (*e.g., "I like my friends because they think like I do or like the same things as me"*).

In general, simple correlations will be misleading.

Miho et al. (2023) circumvent this endogeneity problem by exploiting a historical natural experiment.

During WWII, Stalin deported of over two million ethnic Germans and Chechens from the Western parts of the USSR to Central Asia and Siberia.

These people were (forcefully) exposed to groups with drastically different gender norms and behaviors.

Main result: Present-day gender equality in labor force participation, business leadership, fertility, and pro-gender-equality attitudes are higher among the local native population of deportation destinations with a larger presence of Protestant compared to Muslim deportees.

$\Rightarrow$ Protestants transmitted their egalitarian gender norms to the locals!

Oblique Transmission

Oblique transmission = influence of highly respected individuals, such as teachers or particularly respected peers (i.e., "role models")

For example, Lavy and Sand (2018) provide clean empirical evidence that teachers influence students' performance and aspirations.

In Israel, teachers are randomly assigned in primary schools.

The teachers' bias is calculated by comparing:

- how they grade boys' and girls' exams in a classroom, where a student's gender is known
- to how they grade a national exam, where students' identities and gender are not known

Gender-biased teachers affect the maths gender gap by:

- improving the performance of boys
- decreasing the performance of girls

They also significantly and negatively impact enrolment choices of girls in advanced maths courses in high school.

The Evolution of Social Norms

Some gender differences are deeply rooted in historical organizational differences between societies.

These generate various gender norms that are then transmitted across generations.

The vertical transmission channel suggests that (potentially dysfunctional) social norms can persist over very long periods.

But social norms can also change (either slowly or abruptly).

e.g., attitudes related to women in politics, sexual harassment and the Me Too movement, police violence and Black Lives Matter, etc.

Which factors have historically contributed to changes in norms?

Imbalanced Sex Ratios

Shocks to the sex ratio appear to have consistently altered the economic behavior of women.

A lower (higher) male-biased sex ratio is associated with:

- higher (lower) levels of female labor participation
- less (more) traditional gender roles

When shocks reduce the number of men (*e.g., wars*), women are forced to participate in the labor market, which alters their behavior and people's beliefs durably.

The Case of Australian Convicts

Grosjean and Khattar (2019) document that mainly male convicts were shipped to Australia in the 18th and 19th centuries.

In areas with more male-biased sex ratios, women were more likely to get married and less likely to work outside the home.

In these areas today, both men and women continue to have more conservative attitudes towards women working, and women work fewer hours outside the home.

These effects persist well after sex ratios are back to their natural rate.

The Case of World War II Conscription

The mobilization for World War II drew many women into the workforce permanently, but the impact was heterogeneous across US states.

In states with greater mobilization, Acemoglu et al. (2004) show that:

- Female labor force participation is higher in the postwar period
- As a consequence, female and male wages decreased
- The effect is particularly large for individuals in the middle of the income distribution (i.e., with a high school degree)

The Role of Institutions

Institutions also shape people's cultural values.

State socialist regimes promoted women's economic inclusion much more than capitalist economies.

Using the German partition after WWII, Campa and Serafinelli (2019) show that:

- Women from East-Germany value career success more than women from West-Germany
- East-Germans are less likely to hold traditional gender role attitudes
- This effect is larger in regions where female employment was larger in East-Germany

The Role of Information and Beliefs About Others

Second-order beliefs = what I think the others think

Bursztyn et al. (2020) demonstrate the importance of second-order beliefs in sustaining dysfunctional gender norms.

The vast majority of young married men in Saudi Arabia privately support women working outside the home (WWOH).

However, they substantially underestimate support by other similar men!

Correcting these beliefs increases men's willingness to help their wives search for jobs.

The Role of Information and Beliefs About Others

What about the women?

Months later, wives of men whose beliefs were corrected are more likely to have applied and interviewed for a job outside the home.

In a follow-up recruitment experiment with a local company, they randomly inform women about actual support for WWOH.

This leads them to switch from an at-home temporary enumerator job to a higher-paying, outside-the-home version of the job.

Conclusion

Culture is a powerful, pervasive force in shaping group differences.

Some cultural values can be traced back to historical differences in how pre-industrial societies were organized.

Norms are transmitted through various forms of socialization – family, peers, and role models.

Demographic, political, and information shocks may drastically alter social norms despite their striking persistence over time.

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Tips for the Exam

Make the conceptual difference between a social norm and a stereotype.

Understand which historical factors explain contemporary gender roles.

Understand the primary channels for transmitting social norms.

Understand the main levers at our disposal to change social norms.